Macro Blowups Everywhere - What Now?

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The market currently exists in a fragmented, high-volatility equilibrium driven by structural imbalances rather than fundamental dislocation. While US equities remain supported by robust forward earnings growth and nominal GDP expansion (~6%), bond markets are under pressure from technical blow-ups (MBS negative convexity), hawkish market pricing on interest rates, and geopolitical risks in the Eurozone. The primary thesis is that traditional "fade the rally" strategies are ineffective due to insufficient catalysts for a bear pivot; instead, short-term traders should prioritize hedging against hawkish policy tails or capturing compression opportunities once volatility spikes sufficiently trigger intervention mechanisms (e.g., ECB TPI) or political fiscal clarity.

2. Key Arguments & Data

3. **Bond Market Dynamics:**

    - **Yield Spread:** French OAT spreads have reached 150 basis points over Germany, matching the 2012 crisis peak (Brexit/Debt default fears).
    - **US Yields:** Despite inflation normalization narratives (core PCE weak), yields have surged (2.5 standard deviations) due to technical selling pressure and negative convexity in MBS portfolios.
    - **MBS Risk:** Multi-strategy hedge funds are accumulating concentrated MBS positions with significant capital, creating negative convexity risk where rising rates increase duration exposure without hedging.
    - **Fed Policy Distribution:** Market implies a 25% probability of six or more rate hikes in the next year (6+ meetings). The median outcome is four hikes; shorting bonds requires beating this forward rate distribution with higher probability, which Alf argues is not supported by fundamentals currently.

- **Strategy:** Alf suggests "sell hawkish tails" via put spreads to capture the negative skew of bond volatility without needing to predict a specific rate cut.

4. **US Equity Market:**

   - **Forward Earnings:** The median US company (Equal Weight S&P) has forward earnings growth of ~20% (driven by AI/tech issuance).
   - **Valuation vs. Growth:** Valuations do not justify shorting unless a major macro imbalance occurs (inflation explosion/recession), which is currently priced as unlikely (<30% probability).
   - **Sector Divergence:** Nasdaq remains at highs while Russell 2000/Russia small caps face headwinds due to mortgage rate impacts and housing market correction.
   - **Growth vs. Inflation:** Nominal growth ~5-6% supports equities despite high real yields, challenging historical "Yield Curve Inversion = Recession" models.

5. **Fixed Income & FX (Eurozone):**

   - **France Elections:** Le Pen is leading polls; budget discussions are critical for fiscal conservatism signals. Market fears her adopting a "Meloni card" style (fiscal tightening) to win the election, potentially widening spreads or stabilizing them based on constitutional deficit limits ("Golden Rule").
   - **ECB Intervention:** The ECB's TPI program is designed for multi-country fragmentation, not single country blow-ups; political and market mechanisms are too slow to prevent spread expansion.
   - **Dollar Strength:** Dollar Max has seen extreme carry trade behavior (selling upside volatility). Brent suggests the market is in the "7th inning out of 9" on a potential reversal setup for short dollar MXN/CAD positions.
   - **Overextension:** The USD remains overextended against Canada, Mexico, and Japan due to massive carry trades that have failed recently; Brent views EUR as bearish (energy politics) and USD as mixed/overbent long-term.

6. Actionable Takeaways

7. **Bond Strategy:** Do not short bonds based solely on weak data or technical volatility without a fundamental reason for rates to stop hiking. If taking a long position, use a stop-loss at 5.50% yield (top of 2001 levels) or use sell-put spreads in sovereigns to capture the negative skew and high expected value of bond roll income.
8. **Equity Positioning:** Maintain equity positions if forward earnings growth (~6-7% for median US, 20% for AI/Tech) supports valuation; avoid treating the S&P 500 as monolithic (note divergence between Nasdaq and Russell 3000). Expect seasonal support in mid-term years but remain vigilant on small-cap exposure to interest rate hikes.
9. **FX & FX Volatility:** Monitor French OAT spreads for compression opportunities once volatility expands beyond the current levels, anticipating policy intervention. Avoid long dollar carry trades that have already blown up recently (e.g., Dollar Max); be prepared for a risk reversal and potential downside if volatility exceeds acceptable thresholds.
10. **Market Frameworks:** Stop relying on simple heuristic models like "high yields = equity crash." Instead, analyze the specific probability distribution of rate hikes (median hike vs. extreme tail) and look for catalysts that justify a directional shift in bond or currency positions rather than waiting for an obvious equilibrium break.

Full Transcript

the macro trading floor. With me, Alfonso Peccatillo, founder of the Macro Compass and former head of investments at the large European Bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the Art of Currency Trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Brent is back. And so we are back and holy crap, what's going on out there? It's pretty messy. I just got a ping that says that French bonds are starting 150 basis points over Germany, which is the same that the peak of the 2012 crisis when we're talking about whether Italy or Greece or Ireland or Spain would default. The bond market is putting up quite a show, not only in Europe, but also in the US. The dollar is unstoppable. emerging market carry trade, just taking the punch in the face. I can go on and on, Brent. So why don't we just talk about each of these topics or at least tackle one by one? Sure. So I think in the last podcast, someone reminded me yesterday because someone pinged me and said, Hey dude, where's the podcast? And he said, you guys mentioned last time, if something interesting happens, you'll be back with another podcast. So I guess here we are, something interesting is happening. And right before we we hit record I was saying to Alf it's interesting with the bond market because there's no single explanation that's very satisfying like there's kind of the Yardini school which is that growth is and I think Alf the Alf school too I think if I'm not correct or if I'm not mistaken that nominal growth is six percent so you know yields can be six percent which is like a pretty good heuristic and so this is normalization after the great stagnation And nothing is all that alarming. And I mean, if you look at equities and crypto and things like that, you might come to that conclusion pretty reasonably. But then you also have massive primary deficits, which were not the case in the 90s. So then you could justify even higher rates. And then you have massive demand for capital for hyperscalers, which again is similar to the 90s where there was massive issuance.

to pay for optical fiber and all that kind of stuff. And then this week you have a French budget worry, which I think was kind of predictable, but the timing wasn't that predictable because I think the more likely timing would have been into the election when people start freaking out about potential whatever, not read a nomination, but all those kind of crazy right wing risks or right wing approaches to the Euro. Instead, we're getting it in October. So you have a lot of things all working at the same time. And the weird thing though is that headline inflation actually is annualizing. I'm an absolute hater of three-month annualized because it's the number that Hawks use when it's high and Doves use when it's low. And three-month annualized has been to 2% four times in this cycle.

and year over year never went below two and a half. So I'm not a big believer in it, but especially when oil is up around 100, but still you do have pretty low inflation, low inflation expectations, and then absolutely skyrocketing real yields. And I mean, the temptation to fade it in the PA and in the trading book has been strong. And I think a lot of people have lost money doing it. Where are you at now for bonds health? Like I guess I can't just say bonds because You know, of course, being long boats in France is completely different from being long US two years or something. But what are you thinking? Let me start from the US. So in this podcast, I explained why one of my frameworks to track the central bank monetary policy standard is to look at core inflation, the excess above targets core inflation, and then to look at the one year forward rate communicated by the central bank to the market and compare that to neutral.

a bit of a tailored approach where you say inflation is running at a hundred basis point above target. My forward rate should be a hundred basis point above what we consider to be neutral. The United States has been by this metric a loose central bank for the better part of the last 14 years except for 2022 for a very brief horizon. So the Fed has a long history of being behind the curve and guess what the inflation has been above targets of five and a half years now. So That squares to me now. I was in the camp that Ray said, let's say yields could go higher or at a better upside skew than a downside skew in terms of yields. But the move has been crazy. I mean, you have had the central bank communicating the titers down. This should count down

long and ball and it hasn't. Plus you had the best and buyback put or option out there that also should have helped down long and ball and it didn't.

Then it left me trying to explain why the Federal Reserve moving for the first time in 12 years to a more neutral stance in the front end plus having best inputs by a buybacks Hasn't stopped the long end from moving higher For reference a third year yield was what has moved higher by two and a half standard deviations over the last weeks It's a pretty big move and looking into it Brent. I came across my friends running mortgage back security positions and BS so This is not the first time that such a thing happened. And anecdotically in the street, there have been rumors that a couple of people running in large MBS risk at Edge Fund are having a problem. So that seems to have exacerbated the move in the long end. And I think it is technical, but it is very important to explain. Because generally speaking, after such blow-ups, there is a better chance that things stabilize rather than get worse at this point. So the story of MBS works as such.

You are long mortgage-backed security, which is basically a fixed income instrument with an underlying pool of mortgages. When you are long a fixed income instrument, you're long duration. The problem with MBS is that to estimate your duration, you have to understand what is the prepayment profile of Americans. So Americans can decide to prepay faster or slower than mortgages over time, which is the collateral of your fixed income instrument. And you, as an investor, they are going to make some assumptions. The general assumption, which is rational, is that if interest rates go up, people are going to prepay more slowly. So that makes sense, right? Which means the duration of your bond is going to get, or of your MDS is going to get longer. So this creates a phenomenon called negative convexity in these instruments, which basically means that if interest rates go up, you are long fixed income, so you already lose money. But on top of that, your duration goes up too, because people are less likely to prepay now.

Losing money on your delta, and also your duration is getting longer. So you are losing money in a very compact fashion. So this is not breaking any ground. This is a property of MBS. Everybody's aware of it. But what's going on right now is that in my opinion, multi-strategy hedge funds have

way too much capital. See, for example, Millennium apparently raised 30 billion additional that they can deploy over time. And so they seem to be happy to take larger risks in relatively concentrated strategies. such as MBS risk premium or risk harvesting, which means those PMs are incentivized to just go after it and trade bigger and take more risks. And if you have an negative convexity property in your instrument, don't hedge it. Because why would you? And this seems to be one of the reasons behind the big moving along then, because imagine you're along this instrument brand and you're effectively, you are shorted bond put. That's what you are. And you don't buy bond puts to hedge anything. And then you'll start going higher. What is your only alternative there is to tell bonds to the market to try and hedge your delta, but you are in a situation where you're just compounding the negative impact on the market, which makes a sell off worse until you're set to blow up. Sorry for the end, but I think this helps explaining some of the moving along. Yeah, I mean, and that makes sense. And I think if you look at dollar max, the blow up there is kind of a bit of a similar situation where people were selling vol.

They were long pesos, but then also selling topside in dollar mechs in order to enhance the yield. That sort of enhanced yield thing is similar to mortgage convexity where you're kind of double screwed when it goes against you. And we've seen that in dollar mechs as well. And I think that all kind of flows from a theme that we were discussing in July and August, which was just the dominance of carry overall in markets. And I mean, even as a short term trader, that's primarily directional. I was doing some short ball and long carry stuff in the summer as well because that was the only game in town. And for certain things like Mexico, which has been a high sharp for a couple of years, the high sharps tend to attract more and more capital until the sharp gets obliterated back down to zero, which is what happened now. And I guess one big takeaway from all that though is that if that's the correct model for the last whatever 25 basis points in yields or 20 basis points in yields in the last 2% in dollar max it's equally likely to go the other way because all that short gamma one way ends up being short gamma the other way because then at some point everyone gets over hedged and then you know if yields go back to 5% the duration comes back in prepayment start And then those people that were under-hedged magically are now over-hedged. And then you have the conditions for a

move back lower and yields again. And I guess the question for me is, because I love fading things like this. I love trying to find the tippy top and yields and whatever currencies and all that kind of stuff. And the reason I've mostly been staying away from this is that I don't really understand.

what I'm looking for if I'm long bonds. I guess the obvious thing would be weak US economic data. But it feels like there's just so many factors and so many things going on that like the other I think in if you zoom way, way in this week is a great microcosm of that because core PCE came in pretty unambiguously weak I would say. And you know Eurodollar went from 40 given to 80 bid and then France bonds started leaking and then US bonds just started leaking and you know, all of a sudden the euro is 1% lower and Euro Swiss is 2% lower and despite a dubbish outcome from core PCE. So, you know, you're cheering for weak data because you're long bonds and then you get the weak data and then French bonds start collapsing and you kind of would be sitting here.

if you're a US bond trader going okay well I don't even know what am I cheering for here like a good French budget so that I can be long US tens it when it starts getting convoluted like that I don't like those trades because I don't understand the framework of of what the catalysts are and and how I'm going to make money in the short run because a lot of times for me making money in the short run involves understanding the catalysts or understanding like the current equilibrium appears to be wrong, you know, or 70 30 chance it's wrong because of XYZ. And when you have like a list of seven different reasons that bonds are weak, it's so difficult to to say, okay, well, if, you know, there's a deal with Iran, maybe that'll help like, yes, I guess it might help for a bit. But I don't know, it's just it to me, it's a bit of a mess from a directional short term trading. I can see for pension funds and longer term trading like the attraction to scale into fixed income just because you feel like at some point you know the carry or the coupon is big enough that it justifies gives you a margin of safety but as a short-term trader like I said I find it very hard to really even say okay if this happens I'm going to be long bonds because I don't even know what this would be.

It's always good to check our biases, right? I mean, at some point if we can't find the reason to be long bonds, perhaps we're getting to bias brands, right?

Perhaps there is a reason. So let me, let me put up a few because I'm having the same look. Hold on. You know, one thing that I just thought when you said that is like, maybe the reasonable question is why not just be short bonds? But anyways, the same thing applies. So go ahead. No, well, so the first thing that comes to mind is that If I try to look at the poor distribution of cold inflation and the current state of the labor market and the current state of upcoming fiscal impulse, I can hardly see runaway inflation. And this is a thing that I've been saying for a while. It doesn't mean that inflation has to go back to 2%, but I can't see it going to 4. So that's one argument. And actually, let me update this because I've been using this for a bit. So before I say your wrong number, let me actually look it up. Yeah.

If I look at the distribution of probabilities for Fed funds 12 months from now, the median outcome, according to the market, is that the Federal Reserve will raise rates four more times in the next 12 months. And the market implied probability that the Federal Reserve will raise six times or more is 25%. Now, there are eight meetings in a year, and six times would bring rates to a higher level, Fed funds to a higher level than 2022. Well, we were really fighting runaway inflation. So what is 25% or 30% of the probability for that brand? In my opinion, it's pretty high. I mean, that's a tail that is unlikely to realize, if you ask me. 30% is not a small probability. 4 million hikes in a year means every quarter the federal government has to go, and that is fully appreciated by the market. So that's the state of what's pride been today, right? If you are short bond here, you have to beat those forwards.

And you have to somehow even assume that the sale of the Fed hiking to higher rates than 2022, that's probably higher than 30%. And the bar is pretty high, right? And the bar is pretty high to be short bonds. Now, let's talk about the bar to be long bonds from here. How do you make money? Well, along the road, you make money if it becomes apparent that the reserve isn't hiking at every meeting, I guess. So that's a way to make money, but you're going to be making a small amount of money. So you're going to be cutting the right tail, right? You might sell put spreads in bonds to monetize that, but it's a small PNL with a relatively high likelihood of making that happen. The second way to have a small PNL with a relatively high likelihood of making it happen is carry. But if you look at 10-year

yields at 525 or front end, to go along now, you have a decent carry involved. Compensable with the volatility of disaster, you have an entry point, which is carry divided by ball of about 0.3 units. So for each unit of ball, you get 0.3 PML coming only from carry and roll in bonds. That would make me very excited to go along bonds. Well, not really, but it has the bar to be short. That's what I'm trying to say, basically. If I had to choose with this type of pricing, this type of technicals, and this type of carry divided by ball, I'd rather be long than short, if you ask me really to do this.

In order to be very long bonds, you need fundamental reasons. And the fundamental reasons are, we're going to get the fiscal tightening in the United States. The Federal Reserve is going to turn openly dovish. There's going to be material disinflation. And now, can you see all of this happening? Not really, neither. Fiscal tightening in the US and major disinflation. Those are hard things to achieve. So I think if you ask me, we're left with, I don't want to short here because it's negative carrying role. it's that technical, it's a very hawkish distribution of odds going forward. And I think the bar is pretty high to the shot long here. I guess the question for me is, and again, I know it's a bit of a timeframe mismatch, but if you're long bonds, where do you stop out? Like let's say in 10s, how do you risk manage it? Or do you think it like, because it doesn't necessarily sound like it's a trade you want to have in options. So how do you Or do you just keep it small enough that you can run it to five and a half or something like that? Yeah. So five and a half is, uh, the weekly top of 2001, I think it's a pretty decent reference, which you bridge five and a half. Then it's a bit like OITs, which we hadn't talked about, but now that you have bridged one city over Germany, you open a chart of France versus Germany, it's wide open. I mean, good luck figuring out what is the level at which France should trade, you know, or at least what's the next next year. So I would say if you go a long gear.

Technically you can put a stop at 5.50 and say look if it goes there that was probably wrong But that stop is pretty tight in both terms I mean with this involved it doesn't take a lot to move 25 basis points to be honest So if you're a short-term trader, I think it's a fair way to do this if you're a long-term oriented investor Actually in my opinion one of the best ways to be long-fixed think of now is to sell put spreads in in sober because again,

you're getting paid 30% or one make one or lose three, which is negative skew, but that's not a bad word. I learned over time that if you make a trade, which is make one or lose three, as long as your loss is capped and as long as the expected value is positive, there is no fault in being long something at page one or loses three, as long as your hit rate is pretty high. And here at least I can't see the Federal Reserve bringing rates higher than 2022 in a short time horizon. So maybe that's the best way.

Just sell the hawkish pail, just sell the hawkish pail. Yeah, that makes sense. And then you're probably selling a pretty elevated vol as well. Now let's just change gears here for a second. One of the most interesting things to me and to a lot of people, it's making some people angry and some people to some people, I think it seems obvious and to some people it's making them angry, but stocks are not going down. And, you know, the simple The simplistic description of what's going on is like, does a bad budget in France mean that Meta's earnings are going to be worse on the AI CapEx build out? Like obviously not. And that's kind of like a simple bull case is that all this stuff that's going on really doesn't matter that much. However, there has to be a point at which tightening financial conditions make a difference when all these companies are in negative cash free free cash flow.

and are issuing and obviously the issuance is getting more and more expensive each time that they do it and you know you saw with the paramount issuance and that's one thing that's one of those structural things that's kind of untradable but every single day there's another 30 billion 50 billion I think it was 60 billion for paramount there's a lot of issuance and you know a lot of that stuff is instantly underwater almost all of it's instantly underwater because bonds have been going down so Is there a point at which you worry about equities or is it better to keep the framework of does it affect earnings in the US if no buy stocks? Or do you think the market's on drugs? It's on drugs. So the forward return distribution of equities has a big drift in the right because earnings have been growing the freaking 20 something percent a year. So that makes it Very hard for anyone to say I'm gonna go short this thing because all of a sudden you have a big drift against you to beat, right? And that is the first assumption you should check. Right, and my earnings ratios have been going down, not

up. So what about forward earnings? Like what's your view there? And now if you're looking at equal weight, S&P, then you're looking at roughly the broad U.S. economy forward earnings. If you're looking at S&P, forward earnings, you're looking at AI forward earnings.

I wish you the best of luck on AI forward earnings. I have no clue to be honest. I'm not the right person to ask this question to somewhere between zero and infinity, but the forward earnings of the equal weight S&P. So the median US company is pretty well correlated with nominal growth, right? And nominal growth in the US has been growing at five and a half to six percent. And by any of my metric is going to reasonably grow around five to six percent going forward. So I don't have a big reason to believe that for nominal growth for the median US top should be pretty bad. Then that makes the bar to be short pretty high because the other way to be short equity is if earnings don't disappoint too much is if valuation tanks aggressively. And valuations in equities only tank aggressively if there is a big macro imbalance. Namely, is the Federal Reserve going to go very much ahead of the curve? Is inflation going to explode on the upside? Is a recession coming? Basically, we have to Ponder the tails right then I just said that basically I want to sell the hawkish fat tail price in the market So I don't believe that those things are going to realize which makes me a boring long stonks person I think Well, and I guess one thing like a mistake in my premise initially is to describe this stock market as a monolithic, you know thing and you know Russell's gone from 3100 to 2800 at the same time as Nasdaq's and pretty much at the all time highs. So there has been an impact on small caps, which makes sense. Like housing and things like that have been hit by rates. If you look at jumbo mortgages have gone from 66 to 73 or something like that in a very short time. So there it's not like the market has completely ignored the rise in rates. Financials have been have been trading pretty poorly as well. So the real question is just like at the index level.

Is there any reason to be short? And I just don't really think so either. I mean, if anything, we just got through the worst seasonal period. And now we're into like the safer seasonal part, especially in midterm years, although I think most people still remember 2018 and 2022. We're both midterm years and they weren't great times to be holding stocks, especially

Christmas Eve of 2018. I don't know if everyone remembers that one, but... Yeah, that was bad. That was pretty bad, yeah. So but I think it is interesting how frustrated people are getting with with stocks. And then if you look at other measures of liquidity like crypto and gold and silver, I mean, they're not trading like crypto is trading amazing, but gold and silver aren't trading great. But, you know, they're not really trading like there's been a massive tightening in financial conditions. So I think you have to look at the overall universe of assets and say that strong nominal growth.

is a big part of what's going on and you know that is something that would justify higher yields and it's interesting because all the headlines are like highest since 1994 highest since 1997 like stocks 5x after those yield rises in the early 90s or mid 90s like yields went up like crazy in 94 95 96 and then you know Nasdaq 5x after that so it's there's no rule that says yields at the X year high means that stocks have to go down. It's it's a very tricky game to play and you know there's a lot of people now using lookbacks that kind of show like okay if tens go up 30 or 40 or 50 basis points seems to be around the range then that's when it starts to matter for equities but I feel like that's a little bit like the if the yield curve inverts you'll get a recession. It's like I don't know. It feels like it worked a couple of times. But if you look at the volatility of bonds, bond volatility has gone up, but it's absolutely nothing like, say, 2022. So I guess we're coming to the same conclusion we can probably move on, is that it's just hard work being short stocks. And actually, Russell's probably a great play if you think they yield stabilize.

Um, I don't know if I do, but I'm just saying that that's where there's probably some value In what about FX? Do you have any strong views in FX? I was about to ask you. What do you think? Which stage are we in the in the dollar move especially? Um, before we go there a few words about France, which is another very hot topic here Yeah, and as an Italian I have to have an opinion on France and it has to be negative none actually What should I say about France? There are elections coming in April. Le Pen is leading in the polls and leading on poly markets. It's very polarized. It's either Le Pen or Melanchon. So it's a very, very polarized far-left, far-right type of candidate that seems to be making it to the finals. There is a centrist candidate. It's Eduard Philippe. He's not doing very well to use a

euphemism here. And now the story goes like this. Melanchon, the far-left candidate is...

putting up some very creative financial engineering plans of basically not paying creditors and you know defaulting on that you know some very creative stuff very scary stuff or non-consensual stuff and Le Pen has two options here either play extreme on the other side of things as well and basically doesn't make any comment on physical restraint nothing at all or she plays a so-called Meloni card which basically focuses her platform on other social issues called them like that, and when it comes to fiscal, it's actually the guardian of safety in France. Basically applies the types of systems. If I put everything on a game theory approach, the market is freaking out because Le Corneau, which is the current prime minister, has proposed a budget, which is actually pretty decent. It's about 50 billion of savings and a reduction in primary debt. It's a relatively aggressive one, but the market doesn't believe Brent that is going to get passed in Parliament. I mean, at the moment, both the the far left and the far right need to somehow agree to this budget to be passed through. The game changer, in my opinion, can be Le Pen. If I were her, in order to secure a win at the election, I would have to sympathize with the same-place voters. So people who aren't voting for her, because they don't agree with their social issues, but faced with the alternative of voting the far left lunatic guy, they'd rather vote for her if Francisco Stanton and her economic stance is acceptable.

Okay, so basically that's in my opinion, what is it literally called Le Pen. And in order for Le Pen to convince these people, she has to come through with a Malone fiscal stance, which is a conservative one. Yesterday, for the first time, she said that she's very open to proposing the so-called Golden Rule, which is a rule in the Constitution that would prohibit any future government from breaching the 3% deficit. That is an emerging market like a stance. It's a very, very strong fiscal commitment. To put it in the Constitution, she needs the referendum, but I believe she's moving in roughly the right direction for the fiscal conservatism. And now the libelitmus test is, what does she do about the current budget? Because in October, the budget will be discussed in the French parliament. And if she votes for the fiscal tightening, then the market knows that she's serious

about it. So I think the market is asking her to show her two colors about fiscal. And I think OIT starts to look very interesting.

My only problem is sentiment is horrible. We have breached the 150 basis points versus boons. She has declared we've adjusted overnight and the market does not care a tiny bit. And even today we're wider in spreads. So I see your typical textbook bad news, sorry, good news, bad price action still. So I don't, good news in the sense that she has communicated willingness for physical restraint and the market doesn't care, which makes me very reluctant being long. yet I think the ultimate solution to the end theory is for her to show her fiscal restraint. Because that's how she's in the election. Therefore, that's how you want to belong to OATs. Because you end up with a relatively unfriendly president, but ultimately she doesn't do much about fiscal, which is fine, which is fine, because the recipient can be harvested at that point. Yeah, and I guess OATs are probably getting caught in the carry blow up as well, because there was a lot of, you know, levered carry in OATs as well.

The problem I think for the market or for OAT holders right now is that there's a timeframe mismatch with all this political stuff, all moving in super slow motion and spreads widening 20 basis points a day. And just to put it in perspective, like you said, at the peak of the blow up in 2012 or 2011 right before Draghi came in. Yeah. France got to 185 and did not stay there for very long and basically was other than a couple of days was never above 150. And that was the time when, you know, there was a legitimate fear that the Euro was going to break up. Everyone was going to re-denominate. There was going to be Mark French and Mark Lyra and Mark Spain again. And that was like a real thing. It wasn't like some phony, phony crisis like right now, which this feels a little bit more phony than that. That was like legitimately, you know, rating agencies were pricing re denomination risk and, and people were buying boons because they knew they were going to be priced in Deutschmarks when the euro broke up. And now we're talking about French spreads at the same level as that. So you can either say, like, okay, that's absurd. And I want to be, you know, I want to play for compression or you can say like wow if this is just the start of it this could get absolutely insane because you know like you said the political machinery is very slow and then you have the ECB I wrote a big

long boring piece about TPI yesterday because sometimes you just have to talk about the boring stuff and people are very familiar with OMT and with PEP but TPI, which was the replacement for PEP that came in 2022, is a bit less well known because it hasn't been used. But essentially, it's a program where the ECB can buy French debt if there is sort of fragmentation going on in the ECB monetary policy. Because what they want to do is have one monetary policy that influences the economy of Europe in a somewhat equal way. They don't want to have 20 different monetary policies where all the different bond markets are setting all these different yields. But the problem is right now is that really it's only France that's blowing up. So the the TPI is really for fragmentation when a lot of different countries are blowing up at the same time. So you don't really have the political solution just that that is going to help right now. You don't really have the ECB that's going to help. And there's a buyer strike because because actually there's still blow up in progress of people that were playing the levered compression trade or the levered carry trade. So again, this is one of those ones where other than just watching the price action and taking your shot, it's very hard to know what's going to save the day here other than just picking your levels to go the other way. And it's important because Eurodollar and EuroSwiss have both been trading pretty much tick for tick off French spreads now. So like I said, when Core PCE came out, Euro went up for about 30 seconds and then it crashed because of French spreads. So even more important than US data right now for the dollar is the performance of global bonds and especially French bonds. And to me, I don't really see an end particularly at this moment. I think it's one of those things where it has to get worse before it can get better because once it gets worse that you know people will start squawking either policymakers will be working on some more emergency type of budget type stuff or the ECB will start squawking about TPI and saying okay we the conditions have been met and we may need to you know intervene yeah um nothing much to add on France I'm looking very closely at what Le Pen decides to do about the proposal of the budget from Le Corneau it will show a lot to the market about facts rather than statements, right? Is she a physical restrained person yesterday or not in this situation? Last comment is the convexity in OITs. The wider we go in spreads, right? And then the faster we go wider, the more the pressure goes up for policymakers to intervene. Because at the moment, we can't say the ECB doesn't care and we can say French

politicians don't care. But if you start widening 10 basis points a day, they will care they will and then and then your forward returns being longer ATs look very attractive at that point because the carries better the people are worried the policymakers are worried it takes a lot of guts to be longer at that point but actually the forward returns and the forward expected value is pretty good yeah and honestly like I think I forget who said this but it's a pretty common thing for people to say is that Taking the other side of a crisis can be an absolutely massive way to make money. It's just obviously it's a difficult thing to do because it's usually hard to risk manage the trade because volatility is extremely high at that point. But I would definitely be on the lookout for reasons or opportunities to go the other way. I just don't think we're quite there yet. It's a sort of a circular thing where once it gets bad enough then That's actually the time when it'll start to get better because then people will start to shit their pants in Europe. We always have this approach in your career that's very bad. And then we can maybe think about doing something about it. Brand, I know you need to go two minutes on FX. And actually I have to, that's why I'm prolonging this because I want your opinion. And on a scale of one to 10, how much are we stretching out the dollar value here?

Yeah, it depends on the currency because I think euro can keep going I mean this I've had a sort of a more medium term bearish view on euro simply because We're coming into the French election stuff and the energy crisis potential with low supplies And the crazy thing is like it's only October. It hasn't even got cold yet So I think there's still room for the politics and the energy story to play out in a bearish way for euro But I do feel like dollars kind of getting quite overextended against things like Canada and Mexico. So my view is more mixed. Like I would say still bearish Euro, but much less bullish dollar against almost anything else. Like I'd be more bearish dollar yen, dollar CAD and dollar max bearish dollar max. That's what I was going to go because max is the culprit of the scary blowout pretty much, right? I mean, what I see on the screen now is fantastic. You see dollar max going up, various standard deviation.

and despite this, you see dollar max risk reversal in favor of dollar VG calls being bid on the upside. So it's like people are patiently, they see dollar max blowing up to the upside and they say, and now I prefer having calls over

puts. Okay, so probably you're blown up, as you say, selling topside and now you have to cover. That's literally what's happening probably in dollar max. And these tend to inform me that we are getting there. But now the question is, I'm asking you, how close are we to getting that dollar max? What is it? Is it the seven out of 10, 10 out of 10, nine? If it was 10 out of 10, you would tell me I'm short, but you're not. Yeah, no, I'm more like in the on high alert, looking to for either a technical setup or some kind of new setup to be short dollar max. But I think we're in like, if a baseball game has nine innings, we're in the seventh inning, seventh inning out of nine. Okay, to be clear.

This was an amazing episode, Ben. Very, very happy that you're back and we can chat and a lot is going on. So people, you should expect us to do some other podcasts next week. Sounds good. Promise made. Promise kept. All right. Thanks. Thanks, Alf. The content provided on the macro trading floor podcast is for general information purposes only. No information or other content provided in this podcast should be considered as investment advice. Seek independent professional consultation in the form of legal, financial and fiscal advice before making any investment decision. Always perform your own due diligence.